

## Managing the network

### TIP

#### AGREE ON THE TERMS

When setting up an innovation network, agree beforehand on how you plan to share potential profits, and losses, as well as how you will resolve conflicts.

When the network is operational, you need some core operating processes on which all parties agree, such as:

- **Network boundary management:** how the membership of the network is defined and maintained.
- **Decision-making:** how (where, when, who) decisions get made at the network level.
- **Conflict resolution:** how conflicts are resolved.
- **Information processing:** how information flows among members and is managed.
- **Knowledge management:** how knowledge is created, shared, and used across the network.
- **Motivation:** how members are motivated to join and remain within the network.
- **Risk and benefit sharing:** how the risks and reward are allocated across members of the network.
- **Coordination:** how the operations of the network are integrated and coordinated.

Networks can be short-term and for a specific purpose, or they can continue for as long as members see it worthwhile—this may require periodic review and “retargeting” to keep motivation high.

